

To Jenny, the day looked like a one-day reversal, but she could not be sure. Taken together, the two highest points looked like a double top. The pattern was a warning, and it made her nervous.

Less than a week later, the stock declined below the lower sell line. Should she sell or hold on for additional gains? She looked back at the profit she had made so far and decided not to be greedy. She sold the stock at 36.75 on 22 January. The next trading day, the stock closed up 1.25 at 38, and she was crestfallen.

She continued to monitor the stock and watched it hesitantly move higher over the next 2 weeks. She tried to take solace in the large profit she achieved, but it was little comfort in the face of missed gains. Did she sell too soon? On 23 February, her question was answered when the stock dropped below her sell price, heading down.

Jenny watched the stock drop to 35 and find support at that level. Then, it continued moving down. In early April, the stock declined below the original trendline and she calculated the minimum target price of 31. This was reached within the week and the stock continued falling.

She turned her attention to other interesting patterns and forgot her trade until July 1994. By chance, she pulled up a chart of the company and was horrified to see that the stock had declined to a low of about 21, almost a 50% decline from the high.